

23LBCV00744 23LBCV00744

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BACKGROUND

On an unspecified

date, but with a “commencement date” of February 15, 2021, Plaintiffs Digital Planet Studio Inc. (Digital Planet) and Irfan Merchant entered into an agreement with Defendants Thunder Studios, Inc., A California Corporation (Thunder) and Roderic M. David. The parties agreed to jointly develop a motion capture and virtual production studio, with certain facilities, with Thunder ultimately acquiring an asset of Digital Planet, a “unit” identified as Mobile Motion Mocap (MMM), and perhaps full acquisition of all Digital Planet assets. The parties would jointly own shares in the new entity with ownership based on valuation of Digital Planet assets, and a “long-term employment contract between Thunder” and Plaintiffs. [Comp., ¶¶ 8-11.] Defendants allegedly breached the agreement due to non-payment for “services rendered,” retaining “all rights” to produced content, failing to acquire Digital Planet Assets and instead “covert[ing] the property, and never entering into the promised long term employment contract. [Comp., ¶ 12.] Ultimately, in August of 2021, Defendants locked Merchant out of the offices, refusing to return his personal property to him, and told him his services were no longer needed. Plaintiffs allege Defendants never intended to comply with the parties’ agreements, and instead merely intended to steal their business, their employees, and their trade secret information. Plaintiffs also allege Defendants breached an Non-Disclosure Agreement (NDA) through disclosure and unpermitted use of certain material with third parties, without Plaintiffs’ consent. [Comp., ¶¶ 14-15.]

Meanwhile,

in April 2021, under direction by David, Defendants Rolando Nichols and Leslie Sorrentino “began raiding” (e.g. recruiting) Plaintiffs’ employees for work at

the new entity. Defendant Candela Rebot subsequently locked Merchant out of the offices. Defendants refuse to return Plaintiffs' property and other business assets on site. [Comp., ¶¶ 16-26.]

On April 24, 2023, Plaintiffs filed their 13 cause of action complaint for Breach of Oral, Implied-in-Fact, and Written Contracts; Breach of the Implied Covenant of Good Faith and Fair Dealing; Intentional Misrepresentation; Concealment; False Promise; Negligent Misrepresentation; Conversion; Trespass to Chattels; Intentional Interference with Contracts; Breach of Fiduciary to Duty to Use Reasonable Care; Breach of Fiduciary Duty of Loyalty; Breach of Fiduciary Confidentiality; and Misappropriation of Trade Secrets. On January 4, 2024, the court continued the hearing on the demurrers to the complaint in order to allow the parties to more thoroughly meet and confer in order to clarify and refine the contract claims and address a request for leave to add a quantum meruit cause of action. (See Code Civ. Proc., § 430.41, subd. (a)(3-4).) The court continued the hearing to February 6, 2024.

On February 6, 2024, the demurrers were sustained with 20 days leave to amend. On February 26, 2024, Plaintiffs filed their 16 cause of action first amended complaint for Breach of Oral Contract; Breach of Written Contracts; Breach of Implied-In-Fact Contracts; Breach of the Implied Covenant of Good Faith and Fair Dealing; Intentional Misrepresentation; Concealment; False Promise; Negligent Misrepresentation; Conversion; Trespass to Chattels; Intentional Interference with Contracts; Breach of Fiduciary to Duty to Use Reasonable Care; Breach of Fiduciary Duty of Loyalty; Breach of Fiduciary Confidentiality; Misappropriation of Trade Secrets; and Common Count: Services Rendered (Quantum Meruit). Defendants collectively answered the first amended complaint on April 5, 2024.

On June 10, 2025, the court denied Defendants' motion for summary adjudication on the second cause of action for breach of Written Contracts.

On February 14, 2025, Plaintiffs substituted in Infinite Reality, Inc. (Infinite Reality) for Doe 1, et al. On September 30, 2025, the court sustained the demurrer of Infinite Reality to the entire complaint with 20 days leave to amend.

On October 20, 2025, Plaintiffs filed their 16 cause of action second amended complaint for Breach of Oral Contract (Thunder Studios); Breach of Written Contracts (Thunder Studios); Breach of Implied-In-Fact Contracts (Thunder Studios); Breach of the Implied Covenant of Good Faith and Fair Dealing (Thunder Studios); Intentional Misrepresentation (Thunder Studios & David); Concealment (Thunder Studios & David); False Promise (Thunder Studios & David); Negligent Misrepresentation (Thunder Studios & David); Conversion (Thunder Studios, David & Rebot); Trespass to Chattels (Thunder Studios & David); Intentional Interference with Contracts (Thunder Studios, David, Nichols, & Sorrentino); Breach of Fiduciary to Duty to Use Reasonable Care (Thunder Studios); Breach of Fiduciary Duty of Loyalty (Thunder Studios); Breach of Fiduciary Confidentiality (Thunder Studios); Misappropriation of Trade Secrets (Thunder Studios & David); and Common Count: Services Rendered (Quantum Meruit) (Thunder Studios). Defendants collectively answered the first amended complaint on April 5, 2024.

At the June 2, 2026, hearing on the demurrers of all defendants, the court found the demurrers presented “many and complicated” issues to which the court refused to “do the parties’ work for them” in ruling. The court continued the demurrers to June 25, 2026, and ordered all parties to further meet and confer “in person or over the phone, on EACH ISSUE presented by the demurrers, by the end of next week.” The court ordered the parties to “file briefs and declarations detailing which issues were discussed, which issues were resolved, and which issue remain pending for resolution on or before Tuesday, 6/16/26.” The court provided guidance, including adherence to the demurrer standard regarding review of extrinsic evidence for purposes of determining the sufficiency of the pleading, but allowing for consideration of extrinsic evidence in case of a request for leave to amend; the court would allow for the excess page limit in order to allow Plaintiffs to present single spaced text quoting the operative complaint; and, the court intends to adhere to past rulings, thereby requiring the parties to resolve any redundant issues.

On June 24, 2026, Defendants brought an ex parte motion to continue the hearings due to the departure of one handling attorney, another other handling attorney experiencing a significant medical issue, and the third attorney first addressing a family emergency, then also suffering a significant orthopedic injury. The motion identifies the court adopting a discovery referee finding

regarding the lack of establishment of trade secrets involving 618,186 hard drive stored data files apparently relied upon, at least in part, in the misappropriation of trade secrets cause of action. The unforeseen injuries and departure of one attorney also led to delays in the meet and confer process on the remaining 15 causes of action. Counsel represents an intended effort to resume meet and confer efforts. [See Declaration of Peter Garrell.] On June 25, 2026, the court continued the demurrers and motion to dismiss to August 11, 2026.

DISCUSSION

Applicable Law

Demurrer Standard

“[A] demurrer tests the legal sufficiency of the allegations in a complaint.” (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

“A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616; Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139 “[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.]

Leave to amend

must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy

(1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Meet and Confer

A party is required to meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41, subd. (a).) The meet and confer effort must occur at least five days before the date the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a)(2).)

Motion to Strike Standard

Motions to strike are used to challenge defects in the pleadings not subject to demurrer. Any party may move to strike the whole or any part of a pleading within the time allotted to respond to the pleading. (Code Civ. Proc., § 435, subd. (b)(1).) The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the Court is required to take judicial notice. (Id. § 437, subd. (a).) The Court may strike out any irrelevant, false, or improper matter inserted in any pleading, and strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id. § 436.) An “irrelevant” matter includes any “demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.” (Id. § 431.10, subds. (b)(3), (c); see also Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1036-1042.)

Judgment on the Pleadings Standard

“A motion for judgment on the pleadings serves the function of a demurrer, challenging only defects on the face of the complaint... [¶] The grounds for a motion for judgment on the pleadings must appear on the face of the complaint or from a matter of which the court may take judicial notice.” (Richardson-Tunnell v. School Ins. Program for Employees (2007) 157 Cal.App.4th 1056, 1061.) In considering a motion for judgment on the pleadings, courts consider whether the factual allegations, assumed true, are sufficient to constitute a cause of action. (Fire Insurance Exchange v. Superior Court (2004) 116 Cal.App.4th 446, 452-453.)

Analysis

The order lacks any reference to the previously ordered meet and confer declarations. The court file shows no supplemental declaration(s) filed. While a new judicial officer now oversees the subject action, nothing in the underlying circumstances leading to the continuance of the demurrers and motion to dismiss alters the prior order for supplemental briefing demonstrating an effort to narrow the issues presented to the court and otherwise cease efforts to force the court to make arguments for the parties. (See *Badie v. Bank of America* (1998) 67 Cal.App.4th 779, 784–785 [“When [a party] fails to raise a point or asserts it but fails to support it with reasoned argument and citations to authority, we treat the point as waived”].)

The court sustained the demurrer of Digital Realities to the first amended complaint after all other defendants answered and filed their motion for summary adjudication on the second cause of action. The court therefore also reiterates the prior concerns raised over the restatement of redundant issues conceded by the answer to the first amended complaint, and potential new positions not previously raised. “A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer.” (Code Civ. Proc., § 430.41, subd. (b).) While an amended pleading can be a basis for renewal, Defendants elected to NOT raise any challenges to the first amended

complaint, and instead answered the first amended complaint. (Goncharov v. Uber Technologies, Inc. (2018) 19 Cal.App.5th 1157, 1166-1167.) The supplemental

briefing statement must therefore address and justify any and all positions on previously challenged claims, including the basis for the demurrer after the answer (except for Digital Realities), and the right to bring new challenges, if applicable, including an explanation for not previously raising the position.

The demurrers and motion to strike are continued. The parties are ordered to file a joint statement 14 calendar days before the next hearing date. If a joint statement remains unachievable, Defendants, except for Digital Realities, must file a statement addressing the validity of each and every challenged cause of action in the demurrer.

All defendants may alternatively answer the operative complaint and file a motion for judgment on the pleadings. (Code Civ. Proc., 438, subd. (g).) If Defendants elect to proceed with this alternative path, the parties are ordered to notify the court and proceed with the required pleadings.

CONCLUSION

The demurrers and motion to strike are
CONTINUED.

Judgment Creditor to give
notice.